

Smart Transit Operations and Fare Technology Concession Agreement

SMART TRANSIT OPERATIONS AND FARE TECHNOLOGY CONCESSION AGREEMENT **Agreement Number:**

STO-2028-CON-1186 **Grantor:** City Regional Transit Authority **Concessionaire:** MetroLink

Mobility Operations LLC **System:** Bus rapid transit, local bus, demand response, fare collection, passenger mobile application, control center, and real-time passenger information

Effective Date: September 1, 2028 **Service Commencement Date:** March 1, 2029 **Initial

Term Expiration:** August 31, 2038 **Extension Options:** Two five-year extension options at

Grantor discretion **Governing Law:** State of California --- ## ARTICLE I: PURPOSE AND

DEFINITIONS ### Section 1.01: Purpose The Grantor awards MetroLink a long-term concession to operate bus services, maintain service quality, manage fare technology, provide passenger information systems, maintain vehicles, support accessibility obligations, and deliver measurable public transit outcomes.

The Agreement is performance-based and includes exact KPIs, penalties, reporting requirements, safety obligations, technology obligations, audit rights, step-in rights, and termination rights.

Section 1.02: Public Interest The Parties acknowledge that transit services affect public mobility, worker access, student transportation, equity, accessibility, air quality, and public safety.

Service failures may create public harm beyond ordinary commercial damages.

Section 1.03: Defined Terms **Accessibility Incident:** Any failure involving wheelchair securement, ramp deployment, stop announcement, paratransit handoff, ADA complaint, or denial of service to a rider with a disability.

Critical Service Corridor: A route listed in Exhibit B serving hospitals, universities, low-income communities, major employment centers, or transit hubs.

Fare System Outage: Any event preventing fare validation, pass purchase, account loading, QR validation, tap processing, or fare inspection for more than five consecutive minutes.

Headway Adherence: Percentage of trips operating within the permitted headway variance stated for the route.

Major Safety Event: Fatality, collision involving hospitalization, fire, evacuation, operator assault with injury, or regulatory reportable incident.

--- ## ARTICLE II: CONCESSION SCOPE ### Section 2.01: Operations MetroLink shall operate local bus, bus rapid transit, late-night service, event service, emergency shuttle service, demand response coordination, and control center dispatch.

MetroLink shall provide trained operators, supervisors, dispatchers, mechanics, customer support staff, data analysts, safety managers, and technology support staff.

Section 2.02: Fare Technology MetroLink shall operate and maintain the account-based fare system, mobile ticketing application, fare validators, retail reload network, inspection devices, payment gateway interfaces, fare policy configuration, reduced fare eligibility workflow, and open payment acceptance.

Section 2.03: Passenger Information MetroLink shall provide real-time arrival predictions, service alerts, vehicle location feeds, GTFS static data, GTFS-Realtime feeds, station signs, mobile application notifications, and web journey planning data.

Section 2.04: Fleet Maintenance MetroLink shall maintain diesel, hybrid, and battery electric buses, chargers, depots, fare devices, onboard cameras, passenger counters, radio equipment, and telematics devices.

Section 2.05: Accessibility and Equity MetroLink shall comply with ADA, Title VI, language access obligations, reduced fare policies, paratransit transfer procedures, and equity reporting commitments.

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Section 3.02: Fare Revenue Fare revenue belongs to Grantor.

MetroLink shall collect, reconcile, protect, and remit fare revenue daily.

Fare revenue may not be commingled with MetroLink operating funds.

Section 3.03: Performance Bonus MetroLink may earn an annual performance bonus up to \$2,000,000 if all core KPIs meet or exceed target, no Major Safety Event occurs, customer satisfaction exceeds 4.4 out of 5.0, and fare evasion falls below 3.0%.

Section 3.04: Deductions KPI deductions are calculated monthly and offset against the availability payment.

Deductions do not limit Grantor's rights for fraud, willful misconduct, data breach, indemnity, or Major Safety Event.

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\$20,000 per 0.1 percentage point below target for Critical Service Corridors.

Section 4.03: KPI-2 Headway Adherence **Target:** 95.0% Headway Adherence on frequent routes.

Permitted Variance: Headway may not exceed scheduled headway by more than three minutes for routes with headways of ten minutes or less, and not more than five minutes for routes with headways above ten minutes.

Penalty: \$8,000 per 0.1 percentage point below 95.0%.

Section 4.04: KPI-3 Missed Trips **Target:** Fewer than 0.25% missed scheduled trips per month.

Penalty: \$2,500 per missed trip above the threshold.

A missed trip on a Critical Service Corridor during peak period counts as two missed trips for penalty purposes.

Section 4.05: KPI-4 Vehicle Availability **Target:** 96.5% of required pull-out vehicles available each service day.

Penalty: \$5,000 per unavailable vehicle below target.

If availability drops below 92.0% for three consecutive service days, MetroLink must submit a fleet recovery plan within twenty-four hours.

Section 4.06: KPI-5 Fare System Availability **Target:** 99.95% monthly availability for fare validation, mobile pass purchase, account reload, QR validation, and open payment acceptance.

Penalty: \$50,000 for each Fare System Outage over thirty minutes; \$250,000 for any outage over four hours; fare revenue loss caused by MetroLink technology failure must be reimbursed.

Section 4.07: KPI-6 Real-Time Passenger Information Accuracy **Target:** 95.0% of arrival predictions within two minutes of actual arrival.

Penalty: \$4,000 per 0.1 percentage point below 95.0%.

If GTFS-Realtime feed is unavailable for more than thirty minutes, MetroLink shall pay \$10,000 per incident.

Section 4.08: KPI-7 Customer Complaint Response **Target:** 95.0% of complaints acknowledged within one business day and resolved or assigned a corrective action within five business days.

Penalty: \$500 per complaint missing acknowledgment target and \$1,500 per complaint missing resolution assignment target.

Section 4.09: KPI-8 Accessibility Compliance **Target:** 100% compliance for ramp availability, securement availability, stop announcement equipment, priority seating signage, and ADA complaint handling.

Penalty: \$25,000 per substantiated Accessibility Incident.

Three substantiated Accessibility Incidents in a rolling quarter trigger an Accessibility Corrective Action Plan and public board report.

Section 4.10: KPI-9 Safety Incident Rate **Target:** Preventable collision rate below 0.60 per 100,000 vehicle miles and zero Major Safety Events.

Penalty: \$75,000 if monthly preventable collision rate exceeds 0.60; \$250,000 for each Major Safety Event caused by MetroLink negligence; fatality caused by MetroLink negligence is a Critical Default.

Section 4.11: KPI-10 Cleanliness **Target:** 97.0% of inspected vehicles meet cleanliness standard before pull-out and 95.0% at midday inspection.

Penalty: \$1,000 per failed inspection above monthly tolerance.

Repeated route-level failures require depot-level corrective action.

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Section 5.02: Real-Time Incident Notices MetroLink shall notify Grantor within fifteen minutes after any Major Safety Event, Fare System Outage over five minutes, control center outage, cyber incident, emergency detour, or media-sensitive event.

Section 5.03: Monthly KPI Report By the seventh calendar day of each month, MetroLink shall provide monthly KPI results, raw data files, deduction calculations, trend analysis, root causes, corrective action status, and equity impacts by route and geography.

Section 5.04: Quarterly Board Report Every quarter, MetroLink shall prepare a public board report covering service quality, safety, accessibility, customer experience, fare technology, workforce metrics, emissions, and corrective actions.

Section 5.05: Records Retention MetroLink shall retain dispatch logs, fare transaction records, maintenance records, safety records, operator training records, complaint files,

endpoint detection, secure coding practices, incident response plan, and privileged access logging.

Section 6.03: Cyber Incident Notice MetroLink shall notify Grantor within one hour after discovering a suspected or confirmed cyber incident affecting fare systems, passenger data, employee data, operations systems, APIs, or vehicle systems.

A preliminary written report is due within twenty-four hours.

Section 6.04: Data Ownership Grantor owns all fare data, passenger account data, vehicle location data, operations data, customer complaint data, KPI data, and reports.

MetroLink may use such data only to perform this Agreement.

Section 6.05: Open Data GTFS static and GTFS-Realtime feeds must be made available to Grantor and public trip planning systems.

Planned service changes must be published at least seven days before effective date except emergency detours.

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MetroLink shall perform preventive maintenance according to OEM requirements, Grantor maintenance standards, mileage intervals, battery health requirements, brake inspection requirements, and safety inspection requirements.

Section 7.02: Battery Electric Bus Requirements Battery electric buses must maintain state-of-charge sufficient for assigned blocks.

Charger uptime must be at least 98.0% monthly.

Missed service caused by charger maintenance failure is treated as a missed trip.

Section 7.03: Parts Inventory MetroLink shall maintain minimum parts inventory for brakes, tires, doors, ramps, fare validators, cameras, radios, chargers, HVAC components, and battery thermal management components.

--- ## ARTICLE VIII: WORKFORCE AND TRAINING #### Section 8.01: Staffing MetroLink shall maintain staffing sufficient to operate scheduled service, support customer service, maintain vehicles, and operate control center functions.

Operator vacancy rate above 8.0% for more than thirty days triggers a workforce recovery plan.

Section 8.02: Training Operators must complete initial training, annual refresher training, ADA training, defensive driving, emergency response, de-escalation, fare policy training, and route-specific training.

Maintenance personnel must receive OEM-specific training for battery electric buses and fare equipment.

Section 8.03: Labor Disruption Plan MetroLink shall maintain a labor disruption contingency plan.

Labor disputes limited to MetroLink or its subcontractors are not Force Majeure.

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Section 9.02: Incident Investigation A preliminary incident report is due within twenty-four hours after any Major Safety Event.

A final root cause report is due within ten business days unless law enforcement investigation prevents completion.

Section 9.03: Emergency Operations MetroLink shall support emergency evacuation, warming center shuttles, cooling center shuttles, disaster response, and special event service as directed by Grantor.

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For safety, cybersecurity, fare revenue, or fraud matters, notice may be reduced to twenty-four hours.

Section 10.02: Step-In Rights Grantor may step in or appoint a replacement operator if MetroLink fails to maintain safety, suffers a prolonged Fare System Outage, fails to operate Critical Service Corridors, commits a Critical Default, or fails to comply with emergency direction.

Grantor may step in immediately where public safety is at risk.

Section 10.03: Corrective Action Plans Corrective Action Plans must include root cause analysis, interim controls, permanent corrective actions, owners, deadlines, public communication where required, and verification measures.

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payments.

No cap applies to passenger injury, death, data breach, fraud, fare revenue misappropriation, willful misconduct, indemnity claims, or confidentiality breach.

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- Three Major Safety Events caused by MetroLink negligence in any rolling twelve-month period.
- Fare System Availability below 98.0% in two months during a rolling twelve-month period.
- Missed Trips above 1.0% for two consecutive months.
- Aggregate monthly deductions exceeding \$1,500,000 for three months in a rolling twelve-month period.
- Unauthorized use or sale of passenger data.
- Material breach uncured thirty days after written notice.

Section 12.02: Termination for Convenience Grantor may terminate for convenience on 365 days' written notice.

MetroLink may not terminate for convenience during the initial term.

Section 12.03: Handover MetroLink shall provide up to twelve months of handover support, including personnel transition, data export, fare system migration, asset condition reports, maintenance records, route knowledge transfer, open complaint files, and subcontractor assignment support.

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Grantor may seek immediate injunctive relief for safety, cybersecurity, passenger data, fare revenue, or public service continuity matters.

Section 13.02: Confidentiality Security plans, cyber controls, passenger data, fare revenue data, employee data, pricing, and operational vulnerability information are confidential.

Public records law obligations may require disclosure by Grantor after legally required review.

Section 13.03: Force Majeure Force Majeure includes earthquake, wildfire evacuation, flood, government emergency order, terrorist attack, epidemic restrictions, and regional utility outage not caused by MetroLink.

Force Majeure does not excuse safety obligations, cyber incident notice, fare revenue protection, emergency mitigation, or reporting.

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EXHIBIT B: CRITICAL SERVICE CORRIDORS Critical Service Corridors are Hospital Connector, BRT Red Line, Airport Express, South Valley Rapid, and routes serving designated equity priority communities.

EXHIBIT C: REQUIRED DATA FEEDS Required feeds include GTFS static, GTFS-Realtime vehicle positions, trip updates, service alerts, fare transaction extracts, complaint data, safety event data, maintenance work orders, charger status, and passenger count data.